

The Economic Contribution of Southeastern Louisiana University Athletics

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Abstract

This study estimates the economic contribution of Southeastern Louisiana University Athletics to Tangipahoa Parish, Louisiana. The analysis uses a regional Social Accounting Matrix-based framework to estimate the local effects of athletics operations and net-new visitor spending. The model separates recurring athletics operations from visitor-related spending to reduce double counting and to distinguish local economic activity from spending leakage. Under the conservative case, Southeastern Athletics supports an estimated \$16.46 million in total output, \$10.72 million in value added, \$6.83 million in labor income, 150.08 jobs, and \$1.29 million in tax revenue. Under the moderate visitor spending case, the estimated contribution increases to \$19.49 million in total output, \$12.33 million in value added, \$7.65 million in labor income, 178.66 jobs, and \$1.73 million in tax revenue. The results show that Southeastern Athletics contributes to the local economy through both year-round operations and event-related visitor activity.

Keywords: economic impact analysis; college athletics; regional economics; sports economics; SAM; visitor spending; Southeastern Louisiana University

1 Introduction

Southeastern Louisiana University Athletics generates economic activity through annual operations, payroll, home games, hosted events, visiting teams, spectators, and related visitor spending. Measuring these effects is important for understanding how athletics activity contributes to the regional economy and how spending moves through local businesses, labor markets, and tax bases.

College athletics can affect a local economy through multiple channels. Year-round operations support payroll, purchasing, and institutional activity, while games and hosted events attract non-local visitors who spend money on lodging, meals, fuel, retail, and entertainment. Separating these channels is important because not all athletics-related spending represents new local economic activity.

To measure the contribution, the analysis applies a regional Social Accounting Matrix (SAM) model that distinguishes athletics operating activity from net-new visitor activity and avoids counting internal transfers or spending that would have occurred in the region without athletics-related events.

2 Methodology

2.1 Study Area and Scope

The geographic scope is Tangipahoa Parish, Louisiana. The analysis focuses on athletics-related spending that enters the local economy through university athletics operations, payroll, home games, selected hosted events, visiting teams, spectators, and related event activity.

The study is designed as a regional economic contribution analysis. The purpose is to measure how athletics-related spending supports business activity, employment, labor income, value added, and tax revenue within Tangipahoa Parish. Because the study area is limited to one parish, the analysis includes only spending expected to occur inside Tangipahoa Parish. Spending outside the parish is treated as leakage and is excluded from local economic activity.

The analysis separates recurring athletics operations from visitor-related spending. Payroll, operating purchases, spectator spending, and event-related travel enter the local economy through different channels and therefore require separate treatment. Each spending stream is modeled separately to reduce the risk of double counting and to identify the components of athletics activity that generate the largest local effects.

2.2 Modeling Framework

Economic contribution estimates are developed using a regional Social Accounting Matrix (SAM) framework. The framework applies a Leontief-style input-output structure to trace how initial spending flows through industries, households, governments, and other institutions. In this setting, an

initial spending shock creates direct economic activity, followed by additional rounds of local supply-chain and household spending.

The model reports direct, indirect, induced, and total effects. Direct effects represent the initial athletics-related spending included in the analysis. Indirect effects capture business-to-business purchases generated when directly affected industries buy goods and services from other local suppliers. Induced effects capture household spending supported by labor income earned in the direct and indirect rounds of activity.

Total effects equal the sum of direct, indirect, and induced effects. Results are reported for output, employment, labor income, value added, and tax impacts. Output measures the total value of production or sales activity supported by athletics-related spending. Employment measures annual average jobs supported by the activity. Labor income includes wages, salaries, benefits, employer-paid payroll taxes, and proprietor income. Value added measures the contribution to regional gross domestic product and provides the clearest measure of net economic contribution.

2.3 Data Sources

The analysis relies on two primary data sources provided for the Southeastern Athletics impact analysis. The first source summarizes athletics expenditures across major spending categories, including salaries and benefits, athletics travel, insurance, general operating expenses, supplies, professional services, other charges, scholarships, and acquisitions. Total athletics expenditures are \$11,930,814.83.

The second source contains attendance and event information by sport and hosted event, including total games or events, attendance, estimated non-local visitor shares, average team sizes, and overnight-stay assumptions. Across the listed athletics and hosted events, total attendance is 127,380.

2.4 Scenario Design and Assumptions

The analysis is organized into separate scenarios so operating activity and visitor activity can be estimated independently. The scenario structure allows results to be reviewed by component and avoids combining spending streams that enter the local economy in different ways.

2.4.1 Athletics Operations Scenario

The athletics operations scenario captures payroll and selected local operating expenditures associated with Southeastern Athletics. Salaries and ben-

efits are treated as state government education payroll. General operating expenditures are included at full value. Supplies, professional services, other charges, and acquisitions are incorporated using conservative local purchase assumptions because detailed vendor-location data are not available for all spending categories.

Selected athletics travel categories are included when the spending category can reasonably be tied to local business activity. Meals, hotel spending, fuel, and entertainment are mapped to corresponding local industries, including restaurants, lodging, gasoline and fuel retail, and entertainment or recreation.

Several expenditure categories are excluded or held out of the conservative operations scenario. Scholarships are not modeled as ordinary operations spending because they represent student financial support rather than direct purchases from local industries. Insurance is held out because the local share of premium spending is unknown. Airfare is excluded because it is likely to leak outside Tangipahoa Parish. Bus expenses and rentals are held out until vendor-location or local-spending information can be confirmed.

2.4.2 Visitor Spending Scenario

The visitor spending scenario captures spending by non-local spectators, participants, and related event visitors whose trips are attributable to Southeastern Athletics or hosted events. Local resident spending is excluded from the visitor impact calculation because it generally represents a shift in spending within Tangipahoa Parish rather than new spending entering the parish economy.

Non-local visitor counts are estimated by applying the non-local percentage assumptions to total attendance by sport or event. The resulting estimate is approximately 39,383 non-local attendees or participants. Visitor spending is organized into major categories, including meals, fuel, retail and other purchases, lodging, and entertainment or recreation.

Lodging impacts are based on estimated visitor-nights. For each sport or hosted event, the non-local visitor estimate is combined with the corresponding overnight-stay assumption to approximate total visitor-nights. Lodging spending is then calculated using a per-person, per-night hotel spending assumption.

2.4.3 Conservative and Moderate Visitor Spending Assumptions

Two visitor spending cases are modeled. The conservative case uses lower spending assumptions to provide a cautious baseline estimate. The moderate case uses higher but still reasonable spending assumptions to test the sensitivity of results to visitor spending levels.

The conservative visitor spending case assumes \$30 per non-local visitor for meals, \$10 for fuel, \$10 for retail and other spending, \$5 for entertainment, and \$60 per visitor-night for lodging. The moderate visitor spending case assumes \$40 per non-local visitor for meals, \$15 for fuel, \$20 for retail and other spending, \$10 for entertainment, and \$75 per visitor-night for lodging.

The conservative and moderate cases are not intended to represent exact spending by every visitor. Instead, they provide a reasonable range of local visitor spending impacts under different assumptions.

2.5 Treatment of Net-New Spending

Sports and event impact analysis requires a clear distinction between net-new spending and local spending shifts. The study applies a conservative treatment of visitor and event spending, consistent with established cautions about substitution effects, leakage, and transfer payments in sports and event impact studies (Crompton, 1995, 2006). Spending by Tangipahoa Parish residents is generally excluded from net-new visitor impacts because those dollars likely would have been spent elsewhere in the local economy. Spending by visitors from outside Tangipahoa Parish is counted when the trip is attributable to Southeastern Athletics or a hosted event.

The model also avoids treating revenues as impacts. Ticket sales, student fees, sponsorships, donations, institutional support, facility rental payments, and parking revenues are not modeled as separate impacts unless the corresponding expenditures are not already captured elsewhere. Modeling both revenues and the expenditures funded by those revenues would double count the same economic activity.

2.6 Local Purchase and Leakage Assumptions

Because the study area is Tangipahoa Parish, not all athletics-related spending remains in the local economy. Purchases from vendors outside the parish, visitor spending outside the parish, and income earned by workers who live or spend outside the parish may leak out of the local model.

For operating expenditures, local purchase assumptions are applied where detailed vendor-location data are not available. Supplies, professional services, other charges, and acquisitions are incorporated using a conservative 50 percent local capture assumption. Spending categories with unclear local capture, such as insurance, airfare, bus expenses, and rentals, are excluded or held out of the baseline model until additional information is available.

For visitor spending, the analysis is limited to spending expected to occur inside Tangipahoa Parish. The categories cover local lodging, restaurants, fuel purchases, retail spending, and entertainment or recreation activity connected to athletics events.

2.7 Avoiding Double Counting

The model applies several controls to avoid double counting. Athletics operations and visitor spending are modeled separately. Payroll is treated separately from non-payroll operating purchases. Local resident spending is excluded from the visitor spending calculation. Revenues are used for context and are not modeled as direct impacts when the corresponding expenditures are already captured elsewhere. Categories with uncertain local capture are excluded or held out rather than forced into the model.

Output and value added require different interpretations. Output captures the gross value of production supported by the modeled activity, including intermediate transactions across industries. Value added removes intermediate inputs and is therefore a better measure of the net contribution to the local economy. For that reason, the report presents both measures but emphasizes value added when discussing the broader economic contribution to Tangipahoa Parish.

2.8 Outcome Measures

The results report direct, indirect, induced, and total effects for the following measures:

- Output
- Employment
- Labor income
- Value added
- Tax revenue

Results are presented for athletics operations and visitor spending separately. Combined estimates use two reporting ranges: a conservative estimate based on the operations scenario plus conservative visitor spending, and a moderate estimate based on the operations scenario plus moderate visitor spending. The structure shows both a cautious baseline and a reasonable sensitivity case for the economic contribution of Southeastern Athletics to Tangipahoa Parish.

3 Results

3.1 Summary Economic Contribution

The conservative estimate combines the athletics operations scenario with the conservative visitor spending scenario. The moderate estimate combines the same athletics operations scenario with the moderate visitor spending scenario, providing a sensitivity case based on higher visitor spending assumptions. Table 1 reports the combined economic contribution estimates.

Table 1: Summary economic contribution estimates for Southeastern Athletics in Tangipahoa Parish.

Impact measure	Conservative estimate	Moderate estimate
Output	\$16,460,227	\$19,488,090
Employment	150.08	178.66
Labor income	\$6,826,746	\$7,650,717
Value added	\$10,721,493	\$12,331,777
Tax revenue	\$1,286,045	\$1,734,389

Figure 1 compares the dollar-based outcomes in the conservative and moderate cases. Employment is excluded from the figure because it is measured in jobs rather than dollars.

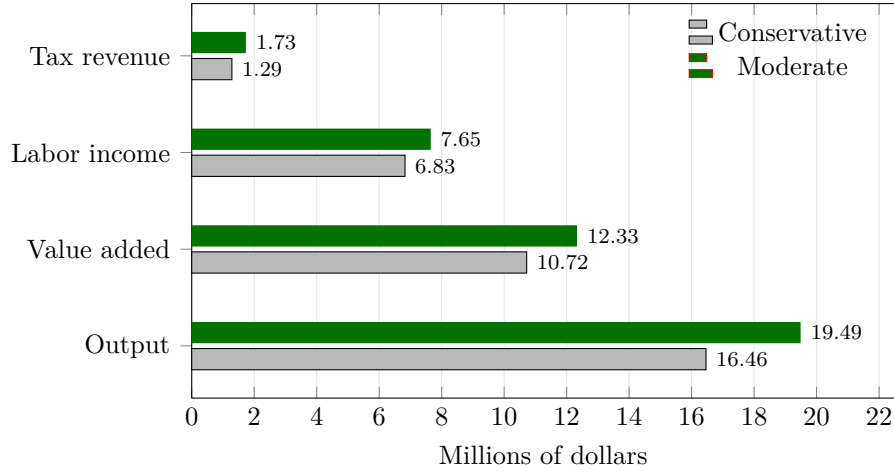


Figure 1: Conservative and moderate economic contribution estimates for Southeastern Athletics in Tangipahoa Parish.

The comparison shows a consistent increase across output, value added, labor income, and tax revenue under the moderate visitor spending case.

3.2 Scenario-Level Results

Table 2 separates the operations scenario from the two visitor spending cases.

Table 2: Scenario-level economic contribution results.			
Impact measure	Athletics operations	Visitor conservative	Visitor moderate
Output	\$8,454,962	\$8,005,265	\$11,033,128
Employment	80.47	69.61	98.19
Labor income	\$4,828,257	\$1,998,489	\$2,822,460
Value added	\$6,475,231	\$4,246,262	\$5,856,546
Tax revenue	\$139,638	\$1,146,407	\$1,594,751

Figure 2 shows how total output differs across the operations scenario and the two alternative visitor spending cases.

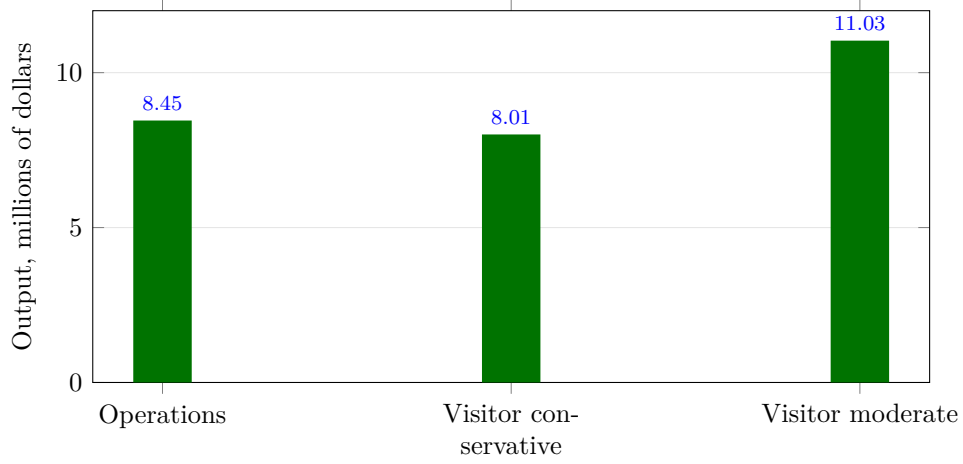


Figure 2: Scenario-level contribution to total output.

The conservative and moderate visitor spending cases are alternatives and should not be added to each other.

Athletics operations are the largest source of value added and labor income because payroll is included in the operations scenario. Visitor spending produces larger tax revenue than operations because visitor categories include taxable spending such as lodging, meals, fuel, retail, and entertainment. The moderate visitor case increases output, employment, labor income, value added, and tax revenue relative to the conservative visitor case.

3.3 Direct, Indirect, and Induced Effects

Direct effects represent the initial spending included in the analysis. Indirect effects represent supply-chain activity generated when directly affected industries purchase goods and services from other local suppliers. Induced effects represent household spending supported by labor income earned in the direct and indirect rounds. Total effects equal the sum of direct, indirect, and induced effects.

Tables 3 and 4 report the direct, indirect, induced, and total effects for the two combined reporting cases.

Table 3: Direct, indirect, induced, and total effects, conservative estimate.

Effect type	Output	Employment	Labor income	Value added
Direct	\$11,476,195	116.48	\$5,665,399	\$8,317,343
Indirect	\$2,380,927	15.76	\$522,340	\$975,320
Induced	\$2,603,106	17.85	\$639,007	\$1,428,829
Total	\$16,460,227	150.08	\$6,826,746	\$10,721,492

Note: Minor differences between component sums and displayed totals reflect rounding.

Table 4: Direct, indirect, induced, and total effects, moderate estimate.

Effect type	Output	Employment	Labor income	Value added
Direct	\$13,507,288	138.28	\$6,255,343	\$9,468,563
Indirect	\$3,050,022	20.28	\$675,967	\$1,254,496
Induced	\$2,930,780	20.10	\$719,408	\$1,608,718
Total	\$19,488,090	178.66	\$7,650,717	\$12,331,777

3.4 Output and Value Added

Output measures gross economic activity supported by athletics-related spending, while value added measures the net contribution to local gross domestic product after removing intermediate inputs. Conservative total output is \$16.46 million, and moderate total output is \$19.49 million. Value added ranges from \$10.72 million to \$12.33 million. Because output includes intermediate transactions across industries, value added provides the clearer measure of Southeastern Athletics' net economic contribution to Tangipahoa Parish.

3.5 Employment and Labor Income

Employment is reported as annual average jobs supported. The model supports 150.08 jobs in the conservative case and 178.66 jobs in the moderate case. Labor income ranges from \$6.83 million to \$7.65 million, reflecting wages, salaries, benefits, employer-paid payroll taxes, and proprietor income supported through direct, indirect, and induced activity.

3.6 Tax Revenue

Estimated tax revenue ranges from \$1.29 million to \$1.73 million. Visitor spending accounts for most estimated tax revenue because lodging, meals, fuel, retail, and entertainment spending are more directly tied to taxable transactions. Model-generated tax estimates should be interpreted as estimates rather than exact collections received by any specific jurisdiction.

Table 5 breaks out estimated tax revenue by level of government.

Table 5: Estimated tax revenue by level of government.

Level of government	Conservative estimate	Moderate estimate
Sub-county general	\$101,075	\$136,822
Sub-county special districts	\$158,134	\$214,060
County	\$136,564	\$184,861
State	\$555,148	\$750,863
Federal	\$335,123	\$447,782
Total	\$1,286,045	\$1,734,389

Note: Sub-county categories refer to municipal and special district tax activity below the parish level. Minor differences between summed government-level categories and displayed totals reflect rounding.

3.7 Industry-Level Effects

Athletics operations and visitor spending affect different parts of the local economy. Operations-related output is concentrated in state government payroll and higher education activity, while visitor spending is concentrated in lodging, restaurants, retail, fuel, real estate-related activity, and entertainment or recreation.

Table 6 lists selected leading industries by output for each scenario.

Table 6: Selected leading industries by output.

Scenario	Industry	Output
Athletics operations	State government payroll	\$4,660,968
Athletics operations	Colleges and universities	\$1,076,790
Athletics operations	Owner-occupied housing	\$343,922
Athletics operations	Other real estate	\$249,889
Athletics operations	Full-service restaurants	\$244,121
Visitor conservative	Hotels and motels, including casino hotels	\$3,274,066
Visitor conservative	Full-service restaurants	\$1,266,551
Visitor conservative	Retail – miscellaneous store retailers	\$419,524
Visitor conservative	Retail – gasoline stores	\$413,849
Visitor conservative	Other real estate	\$300,934
Visitor moderate	Hotels and motels, including casino hotels	\$4,092,583
Visitor moderate	Full-service restaurants	\$1,693,359
Visitor moderate	Retail – miscellaneous store retailers	\$829,321
Visitor moderate	Retail – gasoline stores	\$619,966
Visitor moderate	Other real estate	\$452,493

Note: Industry labels are shortened for readability; the exhibit is a selected summary and should not be interpreted as a complete industry ranking.

4 Discussion

The results show that Southeastern Athletics generates measurable economic activity in Tangipahoa Parish through both year-round operations and event-related visitor spending. The conservative estimate should be interpreted as the primary baseline because it uses cautious local purchase assumptions and lower visitor spending assumptions. The moderate estimate provides a sensitivity case showing how results change under higher, but still reasonable, visitor spending assumptions.

The operations scenario is especially important for labor income and value added because it includes athletics payroll and selected local operating expenditures. Visitor spending is especially important for output, employment, and tax revenue because non-local spectators and participants support lodging, restaurants, fuel purchases, retail activity, and entertainment or recreation spending.

The estimates are intentionally conservative in several ways. Local resident spending is excluded from visitor impacts. Revenues such as ticket sales, student fees, donations, sponsorships, and facility-use payments are not modeled as separate impacts when the corresponding expenditures are already captured elsewhere. Spending categories with uncertain local cap-

ture, including scholarships, insurance, airfare, bus expenses, and rentals, are excluded or held out until additional vendor-location or spending-location information is available.

Separating athletics operations from visitor spending improves the interpretation of the results. Operations and visitor spending enter the local economy through different industries, support different income channels, and have different tax implications. The scenario structure also makes clear that capital projects and detailed hosted-event organizer spending were not included in the current model.

Because the current visitor spending estimates are based on attendance records and assumed spending patterns rather than visitor survey responses, the results should be interpreted as modeled estimates rather than observed spending totals.

5 Conclusions

The analysis shows that Southeastern Louisiana University Athletics contributes to Tangipahoa Parish through both recurring operations and net-new visitor activity. Across the conservative and moderate cases, estimated total output ranges from \$16.46 million to \$19.49 million, value added ranges from \$10.72 million to \$12.33 million, labor income ranges from \$6.83 million to \$7.65 million, jobs supported range from 150.08 to 178.66, and tax revenue ranges from \$1.29 million to \$1.73 million.

Future refinements could incorporate vendor-location data, worker residence information, actual visitor survey data, hotel-room data, and verified local shares for bus, rental, insurance, and other excluded categories.

Such refinements would allow future versions of the model to move from a conservative contribution estimate toward a more detailed spending-location-based impact analysis.

Author Contributions

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Institutional Review

Not applicable.

Informed Consent

Not applicable.

Data Availability

The data sources, model inputs, and supporting result tables used in this study are maintained by the Business Research Center, College of Business, Southeastern Louisiana University, subject to confidentiality restrictions for internal financial records.

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Conflicts of Interest

The author declares no conflicts of interest.

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